



THE REPUBLIC OF LIBERIA
Bureau of Maritime Affairs

8619 Westwood Ctr. Dr.
Suite 300
Vienna VA. USA 22182
Telephone: +1 703 790 3434
Fax: +1 703 790 5655
Email: safety@lisr.com

Office of
Deputy Commissioner
of Maritime Affairs

4 November 2008

MARINE OPERATIONS NOTE: 09/2008

SUBJECT: Provisions for Vessel entering Lay-up Status due to financial crisis

**TO: All Owners and Operators of Liberian and NON-Liberian Flag Vessels
Financial Institutions
Legal Advisors**

In reaction to the recent global economic crisis and the sudden downturn in certain freight markets, this Advisory is issued to help mitigate the burden and financial strain placed on ship owning and financial institutions of the shipping industry. The Liberian Registry considers it essential to support the shipping industry during these uncertain times.

In the event that a ship owner or financial institution decides to place vessels in their possession out of service and register them in laid-up status for an unspecified time period, the Liberian Registry is prepared to enter into a commercial agreement allowing for the deferral of fees and the facilitation of operational measures to ensure safe and secure removal of the vessel from service. These provisions are available to vessels currently in service, vessels currently under construction and vessels transferred from other Flag Administrations for the purpose of lay-up.

The following benefits will be made available to all eligible vessels:

Waiver of the following:

- *Initial Registration Fees;*
- *Registration Administrative Fee;*
- *Mortgage Recordation Fee;*
- *Amended Minimum Safe Manning Certificate Fee;*
- *Registration & Lay-up Certification Fees; and*
- *Annual Tonnage Taxes after the first full year of Registration in Lay-up Status*

Deferral of the following annual and operational fees until vessel is removed from lay-up status or sold:

- *Annual Tonnage Tax;*
- *Annual Marine Investigation and International Participation (MIIPS) Fees;*
- *Annual Marine Inspection Fee;*
- *Seafarer Documentation and Certification Fees for Initial Lay-up Crewmembers; and*
- *Operational Exemption, Dispensation and other Approval Fees*

In order to further ease the financial and administrative burden on the owners placing vessels into lay-up status, guidelines and procedures have been developed by the Liberian Registry. These guidelines address reduced Minimum Safe Manning Levels, Lay-up Procedures and the Deferral of inspection intervals. These Guidelines are available by contacting the Safety Department at safety@liscr.com.

Ship owners and financial institutions are invited to take advantage of the financial and operational benefits offered by these Provisions. For further information about Lay-up registration procedures and a copy of the model Lay-Up Agreement are available at any of our Regional offices or by contacting our Registration department at: +1 212 973 3434 or registrations@liscr.com.